

3.2 TAXATION IN HONG KONG

MARKING SCHEME

1990/CE/II/31 B	2000/CE/II/42 A	2006/CE/II/40 A (40%)	2012/DSE/I/35 D (69%)	2020/DSE/I/ A
1995/CE/II/44 B	2001/CE/II/37 A	2008/CE/II/40 A (66%)	2015/DSE/I/34 B (20%)	2021/DSE/I/41 C
1997/CE/II/41 C	2002/CE/II/33 A (50%)	2010/CE/II/40 A (59%)	2016/DSE/I/35 A (57%)	2023/DSE/I/35 C
1998/CE/II/40 B	2004/CE/II/44 A (34%)	2012/DSE/I/33 C (56%)	2018/DSE/I/40 A (24%)	2025/DSE/I/41 B

Note: Figures in brackets indicate the percentages of candidates choosing the correct answers.

1991/CE/I/1(a)

- (i) Give 1 mark to a correct example of each of the three sources of government revenue. (3)
Direct taxes: salaries tax, profits tax, property tax
Indirect taxes: rates, motor vehicles first registration tax, tobacco duty, etc.
Other revenue: revenue from land sales, fines & penalties, fees and charges collected from different types of licences, etc.

(Mark only the **FIRST** example of each source.)

- (ii) Increased (2)
- (iii) (I) Sales tax is an indirect tax in consumer expenditure. (2)
∴ the relative share of indirect taxes increases. (2)
- (II) Recession $\Rightarrow$ income $\downarrow \Rightarrow$ direct tax revenue $\downarrow$ (3)
Recession $\Rightarrow$ income $\downarrow \Rightarrow$ consumption $\downarrow \Rightarrow$ indirect tax revenue $\downarrow$ (3)
Recession $\Rightarrow$ other revenue, e.g. revenue from land sales, may decrease. (2)
The relative share of indirect taxes will increase / decrease / remain unchanged, depending on the magnitude of the changes of the three sources of government revenue (2)
(max: 8)

1994/CE/I/7

- (a) (i) Property tax - direct tax (1)
(ii) Rates - indirect tax (1)
- (b) Property tax: the tax burden can't be shifted from the property owner onto the lessee (2)
Rates: the tax burden can be shifted onto the lessee (2)

1997/CE/I/7

- (a) Direct taxes (1)
- (b) Direct taxes (e.g. salaries tax and profits tax) vary with income / are progressive or proportional to incomes (earnings and profits). (2)
∴ When economic conditions change (good), incomes will change (high), direct tax revenue will also change (high). (2)

2003/CE/I/8

- Unemployment $\uparrow$ or salary cuts $\Rightarrow$ salaries tax revenue $\downarrow$
Less profits earned or some firms closed down $\Rightarrow$ profits tax revenue $\downarrow$
Rental income $\downarrow$ or less tenants $\Rightarrow$ property tax revenue $\downarrow$ ((1+1)@, max: 4)
[Mark the **FIRST TWO** points only.]

2004/CE/I/9(a)

- (i) Economic downturn
 $\Rightarrow \uparrow$ expenditure on public assistance, unemployment benefits (1)
 $\Rightarrow$ government expenditure $\uparrow$ (1)
Economic downturn
 $\Rightarrow$ more people become unemployed $\Rightarrow$ salaries $\downarrow$, profits $\downarrow$, rental income $\downarrow$ (1)
 $\Rightarrow$ government revenue $\downarrow$ (1)
- (ii) Ageing population
 $\Rightarrow \uparrow$ demand for social services (1)
 $\Rightarrow$ government expenditure $\uparrow$ (1)
Ageing population
 $\Rightarrow$ declining proportion of the population in the workforce (1)
 $\Rightarrow$ government revenue $\downarrow$ (1)

2005/CE/1/11(b)

Increase in investment will increase employment,
and thus increase salaries tax revenue.

More businesses will increase profit,
and thus increase profits tax revenue.

Increase in demand for office premises will increase rental income,
and thus increase property tax revenue.

(1)
(1)
(1)
(1)
(1)
(1)] (max: 3)

∴ increase in direct tax revenue

(1)

2006/CE/1/11(b)

(i) (I) [Providing that consumption expenditure, profit, employment, salaries will not be greatly adversely affected,]

The tax base will be widened because
most goods and services are untaxed before the introduction of the GST but will be subject to tax under the GST.

(1)

(1)

(ii) Employment ↑ ⇒ wages ↑

(1)

⇒ salaries tax revenue ↑

(1)

More business / investment ↑ ⇒ profits ↑

(1)

⇒ profits tax revenue ↑

(1)

2007/CE/1/9

(a) The ratio of direct to indirect tax revenue will fall, because
the indirect tax revenue will increase.

(1)

(1)

(b) Economic recession has the following phenomena:

Employment & wages ↓ / profits ↓

⇒ Direct tax revenue ↓ (e.g. profits tax revenue ↓ / salaries tax revenue ↓)

(2)

Private consumption ↓ / transaction volume and price of property and shares ↓

⇒ Indirect tax revenue ↓ (e.g. general sales tax revenue ↓ / revenue from stamp duty ↓)

(2)

However, consumption expenditure being generally less volatile than income may lead to a decrease in the ratio of
direct to indirect tax revenue.

(1)

2014/DSE/II/10(a)

(i) A declining birth rate implies a slower growth in the size of the work force and possibly a shrinking working population
in the future. As fewer workers are there to pay taxes, future tax revenue may be reduced.

(2)

(ii) A rising old-age dependency ratio implies higher percentage of the elderly in the population. The elderly may have
lower (or even zero) income and greater needs for medical services. They may thus require more government support in
terms of social welfare and public health, implying an increase in public expenditure on such programs.

(2)

2015/DSE/II/11(b)

Introduction of new types of indirect taxes, such as general sales tax or value-added tax,

(1)

would make more people or commodities fall into the tax net, thus broadening the tax base.

(1)

2017/DSE/II/6(a)

Fluctuation in consumption is smaller than that of income. Sales-tax revenue generated from consumption would fall
(proportionately) less than income-tax revenue generated from income, thus stabilizing total government revenue, during
economic downturn.

(2)

OR

Introduction of a general sales tax broadens the tax base, so that the tax revenue collected would fluctuate less.

(2)

2018/DSE/II/13(a)(ii)

The fiscal balance may be worsened.

(1)

Government revenue may drop, as the working-age population, which accounts for a major portion of taxpayers, drops. (1)

Government expenditure may increase, as the government spends more on medical services and transfer payments to the growing old-age population. (1)

2019/DSE/II/10

- (a) It is a progressive tax because higher average tax rate is charged for tax payers with higher income.